singular, which could end up treating collective entities such as farmer producer organisations, self-help groups, cooperatives and community seed banks as commercial enterprises subject to the same compliance standards as large companies. Community seed systems have sustained local agriculture for decades, enabling adaptation to microclimates and reducing dependence on external inputs. The absence of a supportive framework raises the risk of penalising customary practices, she says.

This, even as the National Mission on Natural Farming, launched in 2024, encourages a shift towards systems that rely on traditional seeds. "Neither does the bill talk about it nor does it give any incentive to encourage farmers to grow traditional varieties," says advocate and land laws expert Sunil Kumar.



"Seed is not a commodity; it is a value-driven product. Companies should therefore have the freedom to price them"

PARESH VERMA
Director General, Federation of Seed Industry of India



"A seeds law should be a rights-based framework that protects farmers' rights and safeguards biodiversity"

G.V. RAMANJANEYULU
Executive Director, Centre for Sustainable Agriculture

FEDERAL IMBALANCE

Critics also point to a potential centralisation of authority. Agriculture is constitutionally a state subject, yet the draft empowers the Centre to issue binding directions to states, with its interpretation of "policy" deemed final, notes public policy expert Narasimha Reddy Donthi. Given that seed performance varies across agro-climatic conditions, this raises concerns about the dilution of state-level oversight.

Donthi cites Bt cotton, a pest-resistant genetically modified crop that was approved for commercial cultivation in India in 2002, as a case in point. The private sector has introduced hundreds of its variants, yet publicly available data on their performance across regions remains limited. Even so, says Donthi, these seeds are marketed widely, often with insufficient regard for local conditions.

Pricing is another fault line. The draft largely leaves prices to market forces, with intervention restricted to the Union government and limited to "emergent situations" such as scarcity or profiteering. Given that over 85 per cent of Indian farmers are small and marginal, input costs—including seeds—directly affect viability. In 2006, Andhra Pradesh challenged Monsanto Biotech (India) before the monopolies commission over what it described as "exorbitant" royalties on Bt cotton seeds—a case it later won. This marked a notable instance of a state government-led intervention in price regulation, a role the bill effectively eliminates.

Industry representatives, in any case, resist such controls. With over 500 companies in the market, they argue that competition itself keeps prices in check. "The seed industry is research-driven, much like the pharmaceutical sector," says Paresh Verma, director general of the Federation of Seed Industry of India (FSII). "A research-based seed company spends an average of around 10 per cent of its revenue on R&D. If margins shrink, the first casualty is innovation, as we saw with price controls in Bt cotton."

COMPENSATION GAP

For farmers, however, the biggest concern after a crop failure due to the use of spurious or substandard seeds is compensation—an area where the draft is silent. The Protection of Plant Varieties and Farmers' Rights Act, 2001, does provide for compensation to farmers, but only for varieties notified by the government. In Satyam's case, four seed companies ended up paying a cumulative Rs 4 crore to 671 affected farmers in Telangana. Such outcomes, say experts, are few and far between.

At present, redressal relies largely on consumer courts. Ramanjaneyulu says that this framework rests on a flawed premise—treating farmers as consumers akin to those buying a phone or a car. Filing a case, and proving that seed quality caused a crop failure, is both technically complex and financially burdensome. Sunil Kumar suggests that the proposed law should establish dedicated tribunals at the district or state level to ensure timely and accessible redress.

According to Suman Sahai, founder of the NGO Gene Campaign, compensation must reflect the full economic loss of a failed harvest—not just the cost of seeds, but also labour, resowing and other inputs like fertilisers. In cases involving substandard seeds, she adds, penalties should be high enough—Rs 50 lakh to Rs 1 crore—to act as a deterrent.

India's seed ecosystem spans two overlapping worlds: a formal, innovation-driven industry and an informal, community-based system. Any regulatory framework must therefore engage with both, ensuring quality and accountability without eroding practices that sustain diversity and resilience. The bill's effectiveness will hinge on how it balances formalisation with farmers' autonomy—an equilibrium that remains unsettled. ■